The iterated prisoner's dilemma: when does cooperation emerge?

Computational Intelligence (MAI): evolutionary computation practical work, exercise 8

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Abstract

We study whether cooperation emerges and persists in a population of memory-1 strategies for the iterated prisoner's dilemma evolved with a genetic algorithm, and how the answer depends on the level of action noise, $p_{\text{noise}} \in \{0, 0.01, 0.05\}$. With 30 independent runs per level, the final mean payoff drops from 2.98 (almost full cooperation, dominated by TFT) to 2.01 with $p_{\text{noise}} = 0.01$ and to 1.17 with $p_{\text{noise}} = 0.05$ ($\hat{A}_{12} = 1$ in all three comparisons). The initial hypothesis holds without noise and with high noise, but fails with moderate noise, where GRIM wins instead of the forgiving strategy PAVLOV. We explain this with the matrix of expected payoffs: with noise, PAVLOV can be invaded by ALLD and by GRIM, whereas GRIM and ALLD cannot be invaded by any memory-1 strategy. In a finite population with mutation, however, almost neutral paths connect them, and these produce cycles of cooperation and exploitation with $p_{\text{noise}} = 0.01$ and alternations between ALLD and GRIM with $p_{\text{noise}} = 0.05$.

1 Question and hypothesis

In the prisoner's dilemma two players simultaneously choose to cooperate (C) or defect (D), with payoffs $T = 5$ (defecting against a cooperator), $R = 3$ (mutual cooperation), $P = 1$ (mutual defection) and $S = 0$ (cooperating with a defector). Since $T > R > P > S$, defection dominates in a single round; since $2R > T+S$, sustained cooperation is better than alternating exploitation. In the iterated version the same players play $N_r = 150$ rounds and can condition their action on the past, which makes reciprocity possible [2]. With *noise*, each intended action is flipped with probability p_{noise}; it is known that TIT-FOR-TAT (TFT) then gets trapped in mutual retaliation, whereas *win–stay, lose–shift* (PAVLOV) corrects it [6, 8].

Question. Does cooperation emerge and remain stable in an evolving population, and how does the answer depend on the noise level?

Hypothesis (stated before the experiments). We adopt the hypothesis proposed in the exercise, split into three falsifiable predictions:

H1 Without noise the population evolves towards TFT-like strategies and cooperation is almost full. *It would be refuted* if the final mean payoff were clearly below $R = 3$ (e.g. < 2.5) or if TFT were not the majority strategy.

H2 With moderate noise ($p_{\text{noise}} = 0.01$) forgiving, PAVLOV-like strategies dominate. *It would be refuted* if PAVLOV were not the most frequent cooperative strategy at the end of the runs.

H3 With high noise ($p_{\text{noise}} = 0.05$) cooperation collapses. *It would be refuted* if the final mean payoff did not approach $P = 1$ and defecting strategies did not dominate.

2 Experimental design

Representation. A memory-1 strategy is a 5-bit lookup table (0 = C, 1 = D): the first action and the response to each outcome of the previous round, CC, CD, DC, DD (own action first). There are only $2^5 = 32$ strategies, so they can be named and their frequencies tracked: ALLC `00000`, ALLD `11111`, TFT `00101`, PAVLOV `00110`, GRIM `00111` and STFT `10101` (TFT that starts by defecting). The rest are grouped as OTHER.

Fitness: exact expected payoff. Each individual plays against all the others (round robin, without playing against itself) and its fitness is the mean payoff per round, so that 3 corresponds to full cooperation and 1 to full defection. Since fitness depends on the rest of the population, this is coevolution, and the whole population is re-evaluated in every generation. With memory-1 strategies, the outcome of a round is a 4-state Markov chain (CC, CD, DC, DD) whose transitions depend on both tables and on p_{noise}; propagating the distribution for 150 rounds gives the exact *expected* payoff of each pair. We thus compute, once per noise level, the 32×32 payoff matrix. This is preferable to simulating one noisy match per pair: a single match has a large variance (e.g. GRIM against GRIM with $p_{\text{noise}} = 0.01$: mean 1.66, standard deviation 0.55 across matches), and if it is reused for every copy of the same pair, a single stroke of luck decides the fitness of a whole class of strategies. In a preliminary test with simulation, this source of error even changed the dominant strategy with $p_{\text{noise}} = 0.05$.

Genetic algorithm and fixed parameters. We use DEAP [4] with the values suggested in the exercise (Table 1), which correspond to a standard GA: uniform crossover is natural because the 5 bits have no relevant order, and $p_m = 0.01$ per bit produces a mutant in about 5 % of the offspring of each generation, enough for the population to be continuously exposed to invading strategies. Elitism of 2 keeps the best strategy from being lost by chance.

Table 1: Parameters of the experiment. Only p_{noise} is manipulated.

Population	100	Selection	tournament of size 3
Generations	500	Crossover	uniform, $p_c = 0.7$
Rounds per match N_r	150	Mutation	bit-flip, $p_m = 0.01$ per bit
Payoffs (T, R, P, S)	$(5, 3, 1, 0)$	Elitism	2 individuals
Factor	$p_{\text{noise}} \in \{0, 0.01, 0.05\}$	Runs	30 per level (independent seeds)

Factor, control and response variable. The only factor is p_{noise}. The level $p_{\text{noise}} = 0$ is the *control*: its outcome is predictable from classical theory [2] (reciprocal strategies cooperate with each other and cannot be exploited). The response variable of each run is the mean payoff of the population averaged over the last 100 generations; averaging over time prevents the result from depending on the point of an oscillation at which the run ends. As a measure of the mechanism we record, in every generation, the frequency of the 32 strategies, and we call a *regime* a period of at least 10 generations in which the same strategy exceeds 50 % of the population.

Number of runs and statistics. A pilot of 10 runs per level gave standard deviations of 0.002, 0.08 and 0.21 for $p_{\text{noise}} = 0$, 0.01 and 0.05, with a 95 % confidence interval of the median of ± 0.17 in the most variable case. Although the differences between levels were already clear ($\hat{A}_{12} = 1$), with $p_{\text{noise}} = 0.05$ the distribution turned out to be bimodal (Section 3), so we set 30 runs per level, which reduces that interval to ± 0.08 and allows us to estimate the proportion of each outcome. Each level k uses seeds $100k, \ldots, 100k + 29$, so the samples are independent. For each pair of levels we report the difference of medians with a 95 % percentile bootstrap interval (10 000 resamples) [3], the Vargha–Delaney $\hat{A}_{12}$ statistic [7, 1] and the two-sided Mann–Whitney test with Holm's correction for multiple comparisons [5].

3 Results

Figure 1 shows the evolution of the mean payoff. Without noise, the median reaches almost full cooperation (> 2.95) in 9 generations and keeps it. With $p_{\text{noise}} = 0.01$ the median across runs oscillates around 1.7 with frequent peaks of cooperation (these peaks are why the per-run time average, our response variable, has a higher median, 2.01), and with $p_{\text{noise}} = 0.05$ it quickly drops to about 1.2. Table 2 and Figure 2 summarise the response variable: the three levels are completely separable ($\hat{A}_{12} = 1$ in all comparisons, i.e. any run with less noise beats any run with more noise), and the differences of medians are large compared with their intervals. The intervals with $p_{\text{noise}} = 0.05$ are asymmetric because the distribution is bimodal: 18 runs are concentrated at 1.17 and the other 12 are spread between 1.24 and 1.76.

Which strategies win. Figures 3 and 4 show the composition of the population. We say that a strategy dominates a run if it exceeds 50 % of the population on average over the last 100 generations.

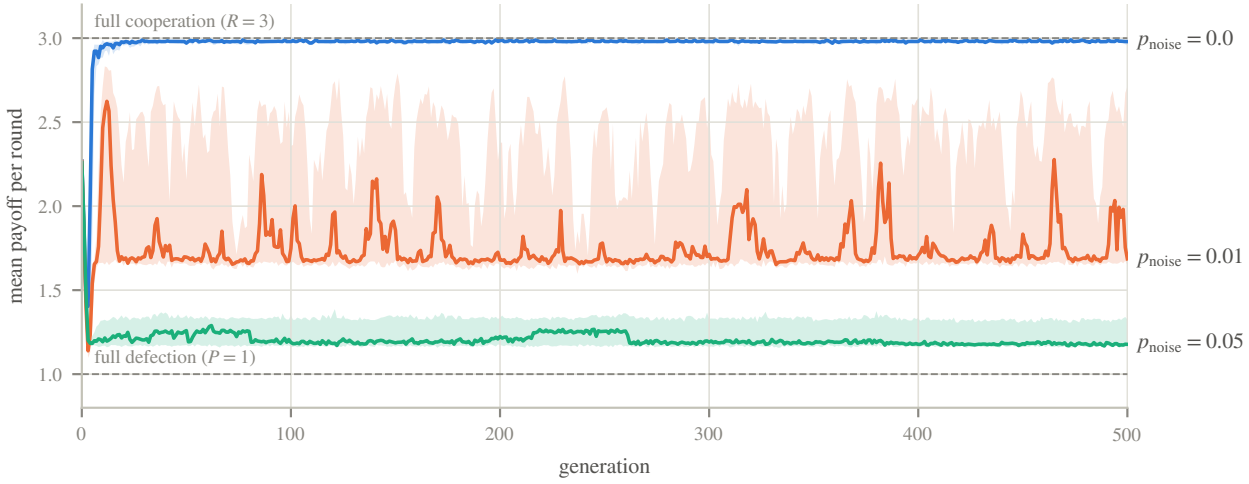


Figure 1: Mean payoff per round of the population over the generations: median (line) and interquartile range (band) of the 30 runs of each noise level.

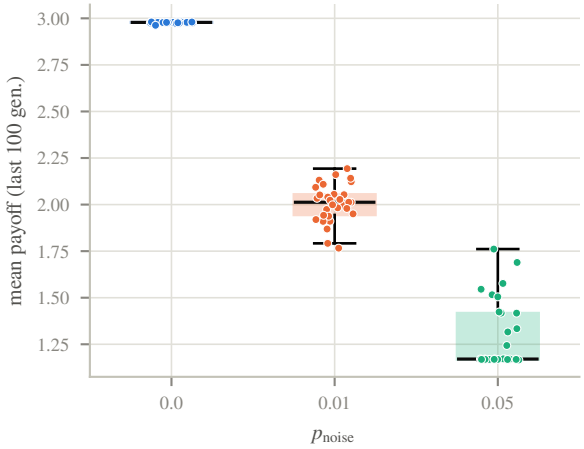


Figure 2: Response variable (mean payoff over the last 100 generations) of each of the 90 runs.

Table 2: Mean payoff over the last 100 generations (30 runs per level): median with 95 % bootstrap CI, and pairwise comparisons (Mann–Whitney p with Holm's correction).

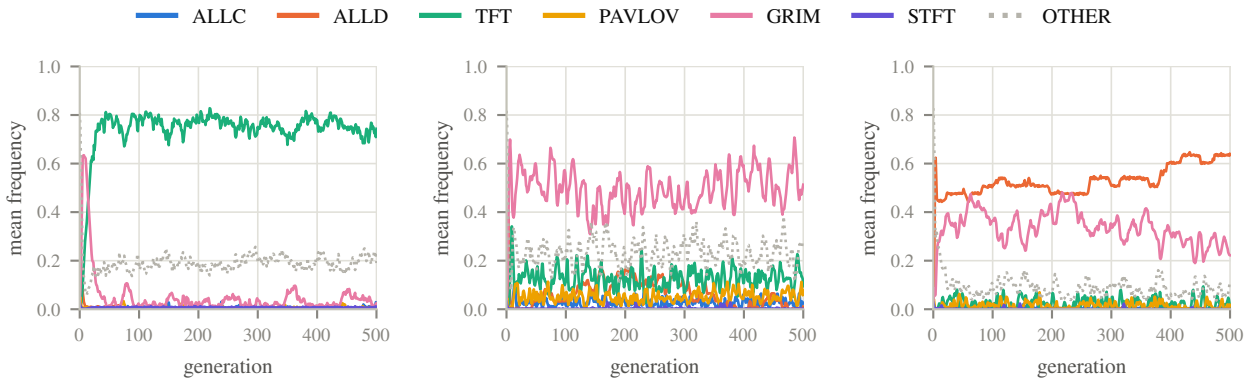
p_{noise}	Median [95 % CI]	Min.–max.
0	2.978 [2.977, 2.979]	2.963–2.983
0.01	2.013 [1.976, 2.046]	1.766–2.193
0.05	1.171 [1.169, 1.325]	1.166–1.761
Comparison	**Diff. of medians [95 % CI]**	$\hat{A}_{12}$
0 vs 0.01	+0.966 [+0.932, +1.002]	1.00
0 vs 0.05	+1.808 [+1.653, +1.809]	1.00
0.01 vs 0.05	+0.842 [+0.679, +0.875]	1.00

In all three comparisons, $p_{\text{Holm}} = 9 \cdot 10^{-11}$.

- $p_{\text{noise}} = 0$**:** TFT dominates in 29 of 30 runs (median 78 %) and holds a regime 90 % of the time from generation 100 onwards. Almost all the rest (OTHER, 17 %) is the genome `00100`, which differs from TFT only in its response to DD; among cooperators that entry is never used, so it is a neutral variant that drifts freely. **H1 is confirmed.**
- $p_{\text{noise}} = 0.01$**:** GRIM dominates in 19 of 30 runs (median 53 %), followed by TFT (13 %). PAVLOV does not exceed a median of 5 % and dominates no run. **H2 is refuted.**
- $p_{\text{noise}} = 0.05$**:** ALLD dominates in 19 runs (with 95 % of the population) and GRIM in 9; in the remaining 2 both coexist. The median payoff drops to 1.17. **H3 is confirmed**, although not every run ends in the same state.

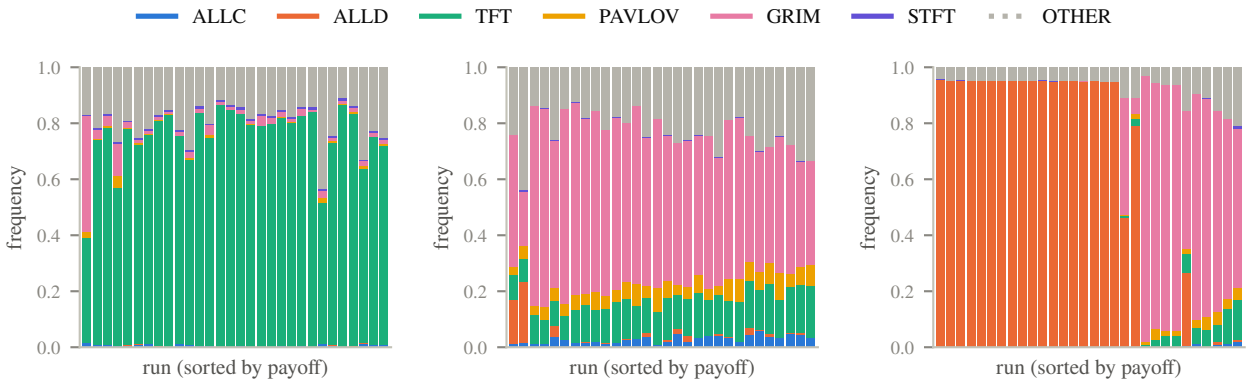
4 Mechanism

To explain these results we use the matrix of expected payoffs of the classical strategies (Figure 5), computed with the same exact model as the fitness. In a large population made almost entirely of a resident strategy X, a mutant Y can invade it if $\pi(Y, X) > \pi(X, X)$, or if $\pi(Y, X) = \pi(X, X)$ and $\pi(Y, Y) > \pi(X, Y)$, where $\pi(A, B)$ is the payoff of A against B. Table 3 applies this criterion to each noise level. Moreover, since mutation usually changes a single bit, we also look at the advantage $\pi(Y, X) - \pi(X, X)$ of the 5 one-bit mutants of each resident: if it is almost zero, the mutant can spread by drift even if it does not invade.



(a) $p_{\text{noise}} = 0$ **(b)** $p_{\text{noise}} = 0.01$ **(c)** $p_{\text{noise}} = 0.05$

Figure 3: Frequency of the named strategies over the generations (mean of the 30 runs).

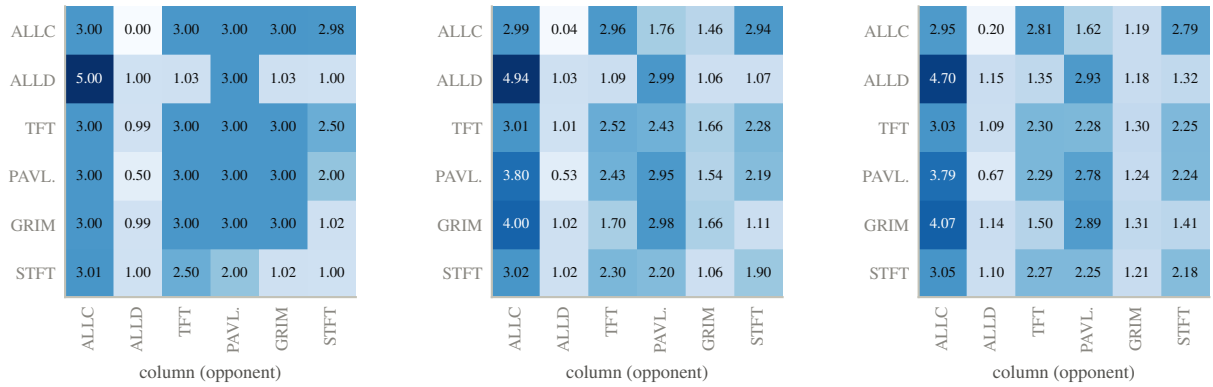


(a) $p_{\text{noise}} = 0$ **(b)** $p_{\text{noise}} = 0.01$ **(c)** $p_{\text{noise}} = 0.05$

Figure 4: Composition of each run, averaged over the last 100 generations. Each bar is a run, sorted from lowest to highest final payoff.

Without noise. TFT, PAVLOV, GRIM and ALLC all obtain 3 against each other, so selection among them is neutral. They differ in how they respond to the defecting mutants that the mutation operator keeps generating. PAVLOV can be invaded by ALLD: against ALLD it alternates C and D and obtains only 0.5, whereas TFT and GRIM obtain 0.99. The two one-bit mutants of TFT that defect (STFT `10101`, which starts with D, and `01101`, which defects after CC) drag TFT into an alternation of retaliation that gives it a payoff of about 2.5, whereas GRIM punishes forever and obtains only 1.02–1.03. This is why GRIM dominates in the first generations, while there are still many defectors (initial peak in Figure 3a), but TFT displaces it in 25 of the 30 runs once the population cooperates, because it earns more than GRIM or PAVLOV against its own mutants.

With moderate noise ($p_{\text{noise}} = 0.01$). Noise breaks the equilibrium of TFT: one error triggers a chain of alternating retaliation, and the payoff of TFT against TFT drops to 2.52. More forgiving variants of TFT, such as ALLC or the one-bit mutants `00001` (which does not retaliate after being exploited) and `00100` (which returns to cooperation after mutual defection), obtain more than TFT against TFT (advantages of +0.43 and +0.20 for the two mutants) and invade it. Such a population is then exploited by GRIM (4.00 against ALLC) and ALLD (4.94). PAVLOV, which obtains much more against itself (2.95) than TFT (2.52) or GRIM (1.66), can be invaded by ALLD (2.99) and by GRIM (2.98), which exploit the fact that PAVLOV returns to cooperation after mutual defection. In contrast, GRIM cannot be invaded by *any* of the 32 memory-1 strategies, although TFT is almost tied with it (1.655 versus 1.658). GRIM is therefore the usual attractor (it holds a regime 50 % of the time), and because it is almost neutral with respect to TFT the population can cycle: GRIM drifts towards TFT, the forgiving variants invade TFT, and GRIM exploits them again. In 22 of the 30 runs there is at least one change of regime, and in the periods dominated by OTHER the most common genomes are precisely `00100` and `00001` (17 % each), followed by TFT and ALLC. Figure 6b shows these cycles in one run. They produce the cooperation peaks of Figure 1, and they are why the final mean payoff (2.01) is higher than that of a pure GRIM population (1.66).



(a) $p_{\text{noise}} = 0$ **(b)** $p_{\text{noise}} = 0.01$ **(c)** $p_{\text{noise}} = 0.05$

Figure 5: Expected payoff per round of the row strategy against the column strategy (150 rounds). The darker the cell, the higher the payoff.

Table 3: Invasion analysis: named strategies that can invade a population of the resident. "Not invadable" means that none of the 32 memory-1 strategies obtains against the resident a payoff equal to or higher than the resident itself.

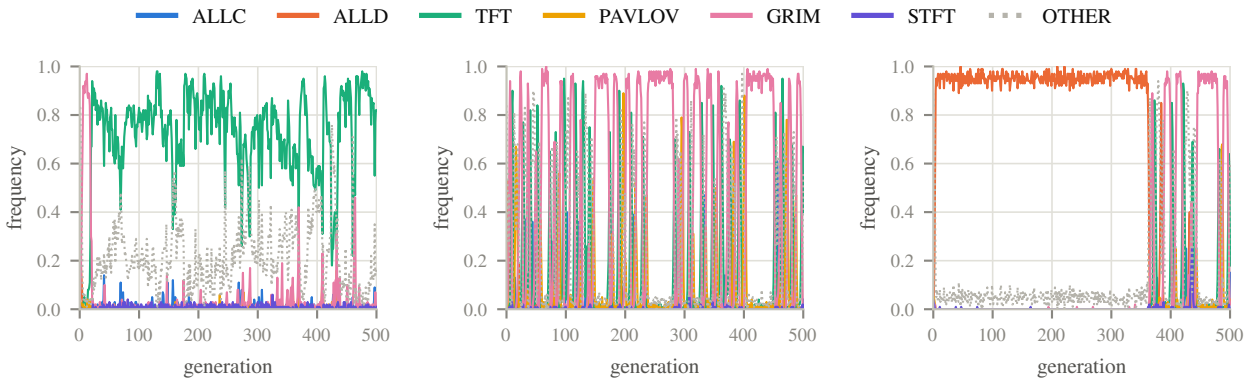
Resident	$p_{\text{noise}} = 0$	$p_{\text{noise}} = 0.01$	$p_{\text{noise}} = 0.05$
ALLC	ALLD, STFT	all	all
ALLD	none	not invadable	not invadable
TFT	none	ALLC	ALLC
PAVLOV	ALLD	ALLD, GRIM	ALLD, GRIM
GRIM	none	not invadable	not invadable
STFT	ALLC, TFT, PAVLOV, GRIM	ALLC, TFT, PAVLOV	ALLC, TFT, PAVLOV

With high noise ($p_{\text{noise}} = 0.05$). Errors are so frequent (in a pair, one every 10 rounds on average) that no reciprocal strategy sustains cooperation: TFT against TFT obtains 2.30 and PAVLOV is exploited by ALLD (2.93 versus 2.78). Only two non-invadable states remain, ALLD and GRIM, and each is stable against the other: ALLD obtains 1.18 against GRIM, less than GRIM against GRIM (1.31), and GRIM obtains 1.14 against ALLD, less than ALLD against ALLD (1.15). However, the population does not stay fixed in one of them: it spends 57 % of the time in an ALLD regime and 34 % in a GRIM regime, and 18 of the 30 runs change regime at least once. Almost neutral mutants make these transitions possible: the one-bit mutants `10111` and `01111` of ALLD lose only 0.002 and 0.006 with respect to ALLD, so they spread by drift, and `10111` (GRIM that starts by defecting, the most frequent genome in the OTHER phases) is a single bit away from GRIM. The bimodality of Figure 4c is therefore a snapshot of a process that alternates between two defecting states (Figure 6c).

Why does PAVLOV not win? In the classical result in favour of PAVLOV [6], obtained with stochastic strategies, PAVLOV only takes over after TFT-like strategies have eliminated the defectors. With deterministic memory-1 strategies, PAVLOV has a structural weakness: against an unconditional defector it cooperates every other round. With our mutation operator, ALLD and GRIM reappear continuously and exploit that weakness before PAVLOV can establish itself.

5 Limitations

- We only consider deterministic memory-1 strategies. More complex strategies (memory 2, finite state machines) or stochastic ones (*generous TFT*) might sustain cooperation under noise. We did not study the extension proposed in the exercise; our conclusions refer to the space of 32 strategies.
- We use a single set of GA parameters. The population of 100, $p_m = 0.01$ and the tournament of 3 set the strength of drift and selection. Since regime changes depend on almost neutral mutants, a different population size or mutation rate would change their frequency, and perhaps the stability of PAVLOV.
- An individual does not play against itself. With a population of 100 the effect is small, but not zero.



(a) $p_{\text{noise}} = 0$ **(b)** $p_{\text{noise}} = 0.01$ **(c)** $p_{\text{noise}} = 0.05$

Figure 6: Dynamics of a single run per noise level (run 0). With $p_{\text{noise}} = 0.01$ there are cycles between GRIM and cooperative variants; with $p_{\text{noise}} = 0.05$, a long ALLD phase followed by a switch to GRIM.

- The mean payoff mixes cooperation and noise: with high noise, even ALLD against ALLD obtains more than 1, because errors produce involuntary cooperation. This is why we complement the payoff with the composition of the population.
- The definitions of dominance and regime (50 % of the population, 10 generations) are our own conventions; the payoffs and the tests do not depend on them.
- In an additional robustness check (10 runs per configuration, `report/robustness.py`) the conclusions hold with matches of 1000 rounds (TFT dominates in 10/10 without noise, GRIM in 6/10 with $p_{\text{noise}} = 0.01$ and ALLD in 6/10 with $p_{\text{noise}} = 0.05$) and with more noise ($p_{\text{noise}} = 0.1$: ALLD in 8/10; $p_{\text{noise}} = 0.25$: ALLD in 10/10, with a payoff of 1.70 that only reflects the noise). We have not explored the levels between 0 and 0.01 systematically, and the change from TFT to GRIM happens somewhere in that range.

6 Conclusions

In a population of memory-1 strategies evolving with a GA, cooperation emerges and is stable without noise, with TFT as the dominant strategy. Just 1 % of errors is enough to lose a third of the mean payoff: the population becomes dominated by GRIM and goes through cycles of cooperation and exploitation. With 5 %, cooperation collapses and the population alternates between two defecting states, ALLD and GRIM. The hypothesis holds at the extremes, but the forgiving strategy PAVLOV does not win with moderate noise, because it can be exploited by ALLD and GRIM, which cannot be invaded by any memory-1 strategy. The invasion analysis on the matrix of expected payoffs, together with the almost neutral mutants, accounts for the cycles and for the bimodality.

Reproducibility. All the code, seeds and instructions are in `README.txt`: `python main.py` runs the experiment and `python analysis.py` generates all the tables (`results/summary.txt`) and the figures of this report.

Use of generative AI tools. We used Claude (Anthropic, Claude Opus 5.5 model, November 2026) as an assistant to review the initial code (it detected the problem of reusing a single noisy match per pair), to propose and write the exact computation of the expected payoff, the statistical analysis and figure script, a first draft of this report and its English translation. All the results were obtained by running our code, and we have reviewed, verified and edited the final text.

References

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